Group Saving Fund Rule Book

Build a disciplined, collective savings fund for future investments, emergencies, or group financial goals

Founding Members:

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1. Preamble & Group Details

This document sets out the rules and regulations governing the group savings fund formed by the undersigned members (Group). The Group is formed to pool monthly contributions from its members for the purpose of building a disciplined, collective savings fund that may be used for future investments, emergencies, or group financial goals including a joint business or startup venture where unanimously agreed by the members. All members agree to abide by these rules for the duration of their membership in the Group.

1.1 Group Details

- Date of Formation: **2083/05/21 (B.S.)**
- Number of Founding Members:
    - Aayush Adhikari (9867754739)
    - Baburam Shrestha (9846871406)
    - Prabin Chaudhary (9840193890)
    - Rajani Shrestha (9840594466)
    - Rupak Ale (9818124520)
    - Sanu Tamang (9818049764)
    - Susan Dulal (9818460028)
    - Susma Tharu (9867440632)
- Monthly Contribution per Member: **NPR 5,000** (See Section 4)
- Calendar followed: **Bikram Sambat (B.S.)**

1.2 Definitions used in this Rule Book

- **Total Fund**: The sum of all member contributions, retained interest, penalties and fees held by the Group, whether in the bank account or out on loan.
- **Lendable Pool**: Up to 80% of the Total Fund; the maximum that may be on loan to members at any one time (See Section 6.3).
- **Free Cash**: The part of the Lendable Pool not currently lent out, i.e. the money actually

available to disburse today.

- **Simple majority**: More than half of all members.
- **Two-thirds**: At least two-thirds of all members.
- **Unanimous**: 100% of all members. Thresholds are counted against all members of the Group, not only those present at a meeting.

2. Core Principles & Governance

2.1 Fund Purpose

- To build a disciplined, collective savings fund for **future investments, emergencies, or group financial goals.**

2.2 Membership

- Only persons approved by the Group who sign this Rule Book are eligible for membership. New members may join only with the unanimous consent of all existing members.
- Membership is personal and non-transferable, except as provided under Section 10.3 (Member Exit / Liquidation).
- Each member has one equal vote in Group decisions, regardless of contribution history, unless the Group agrees otherwise in writing. The single exception is a member in default on a loan, whose voting right is suspended under Section 9.13.
- Members are expected to act in good faith and in the collective interest of the Group at all times.

2.3 Accountability

- Transparency is mandatory. Every transaction must be logged and made visible to all members within **24 hours**.

3. Role Definitions & Responsibilities

3.1 Account Maintainer (Treasurer)

- Holds and manages the bank account or digital wallet.
- Issues immediate payment receipts/screenshots in the group chat upon receiving funds.
- Handles approved payouts, loan disbursements and withdrawals.
- Receives written loan applications and places them before the Group (see Section 9.4).
- The Account Maintainer may not transfer or withdraw funds without recorded written consent (e.g., approval in the group chat) from at least two-thirds of all members.

3.2 Excel Maintainer (Bookkeeper)

- Maintains the official shared Google Sheet / Excel ledger.
- Logs every deposit, withdrawal, loan disbursement, repayment, interest earned and late fee.
- Maintains the **Loan Register**, recording for each loan: the borrower, the approval date, the amount approved, any amount still awaiting disbursement, the guarantor(s), the repayment schedule and the outstanding balance.
- Keeps a dated written record of every notice, meeting and response arising under Sections 9.13 and 9.14.
- Reconciles the spreadsheet against the physical bank statement quarterly.
- Shares a monthly summary report with all members.

3.4 Rotation

- Roles should rotate every **1 year** to ensure fairness and transparency.

4. Contribution & Deposit Rules

4.1 Fixed Contribution Amount

- NPR 5,000 per member.

4.2 Deposit Frequency

- Monthly.

4.3 Due Date

- Payment is due on the 10th of every month, with a grace period until the 20 th of every month.

4.4 Late Payment Penalty (contributions)

- Deposits made after the grace period incur a late penalty of NPR 50 for each month overdue.
- Late fees shall be added directly to the Total Fund
- Late payment on a *loan* is charged separately under Section 9.11.

4.5 Proof of Payment

- Members must post a screenshot or transaction reference number in the group chat and notify both the Excel Maintainer and the Account Maintainer.

4.6 Contribution Amount Changes

- The contribution amount can only be increased or decreased with the written consent of all members.

5. Late Contribution & Default

5.1 Missed Contributions

- If a member fails to contribute for **3 consecutive months** without prior notice to the Group, the Group may review their membership status under Section 10.3.

5.2 Hardship Waiver

- Genuine hardship cases (e.g. job loss, medical emergency) may be granted a temporary waiver or deferral of contribution up to 6 months if approved by a simple majority of members.
- Hardship on a *loan repayment* is dealt with separately under Section 9.11

6. Fund Storage & Account Management

6.1 Account Type

- Group funds shall be held in a dedicated joint bank account and shall never be mixed with personal funds.
- Any withdrawal from the account requires signature or approval from at least **2 designated signatories**, in addition to the member consent required under Section 9.4.
- No individual member may withdraw or use fund money for personal purposes, except by way of a loan or payout approved under Sections 9 and 10.

6.2 Statement Auditing

- The Account Maintainer must share a PDF or screenshot of the official bank statement on the **10th of every month** so all members can verify the balance against the Excel ledger.

6.3 Fund Reserve: The 20% Rule

- At least 20% of the Total Fund must remain in the bank account at all times.
- Up to 80% of the Total Fund may be lent to members only with the approval of all members.

7. Decision-Making & Meetings

7.1 Meeting Frequency

- The Group shall meet virtually at least once each month and in person at least once each quarter to review the fund status and the Loan Register and to discuss investment plans
- At least two third member including Account Maintainer and Handler should be present in the meeting and can create a meeting minutes
- As per requirement emergency meetings can be held on request of any of the members for any kind of decision making related to the fund management.

7.2 Voting Thresholds

- Decisions on how the fund is used (e.g. which investment or business idea to pursue, how much to invest) require the agreement/approval of **all members**.
- Loan approvals require a **two third majority of all members except applicants** (see Section 9.4).
- Emergency outright payouts require a **unanimous vote** (see Section 10.1).
- Minor administrative decisions (e.g. choice of bank, tracker tool) may be decided by two-third majority.

7.3 Documentation

- All major decisions and meeting minutes shall be documented in writing and shared with all members.
- Any changes made through voting need to inform the absent member in that meeting.

8. Use of Fund / Business Investment

8.1 Primary Purpose

- The fund is intended primarily for collective savings, with any surplus available for a jointly agreed business or startup venture. Until such a venture is finalised, the fund shall remain pooled and untouched except for approved administrative costs and approved loans or payouts under Sections 9 and 10, and always subject to the reserve required by Section 6.3.

8.2 Investment Proposals

- Any proposal to deploy fund money into a business idea must be presented in writing to all members, including expected costs, risks and expected returns, before a vote is taken under Section 7.2.

8.3 Equity Share

- If the fund is used to start a business, ownership/equity share in that business shall be proportional to each member's total contribution, unless otherwise agreed in writing by all members.

8.4 Partnership Agreement

- A separate Business/Partnership Agreement shall be drafted and signed by all members before the fund is deployed into any venture.

9. Member Loans: Interest, Repayment & Recovery

This Section governs all lending from the fund to members. It replaces the earlier short-form loan terms and prevails over any other clause of this Rule Book that is inconsistent with it.

9.1 Availability

- Members may request a loan from the fund.
- All lending is subject at all times to the 20% minimum reserve required under Section 6.3.

9.2 Maximum Loan Amount

- A member may borrow up to 50% of the Lendable Pool, or up to 60% of the Lendable Pool in an emergency.

9.3 Minimum Loan and One Loan at a Time

- The minimum loan is **Rs. 5,000**.
- A member may hold **only one loan at a time**, and must repay it in full before applying again.

9.4 Applying for a Loan

- The request must be made in writing to the Account Maintainer and requires approval by a two-thirds majority of all members. Subject to available Free Cash and Section 9.7, the approved amount shall be disbursed within 7 days.
- Before approving a loan, the Group must satisfy itself that the borrower can genuinely afford the monthly repayment together with their ongoing monthly contribution. A loan that the borrower cannot reasonably service shall not be approved, regardless of the borrower's willingness to accept it.

9.5 Loans in One's Own Name Only

- A member shall apply for a loan only for their own use. No member shall apply on behalf of another person, or hand over loan money to another person for that person’s use.
- Any member found to have done so shall immediately repay the loan in full and may have their membership reviewed. The Member who actually received the money shall also be liable for repayment.
- This does not prevent a member from lending their own personal money to anyone they choose.

9.6 Partial Loans & Waiting Balance

- Where an approved loan is larger than the Free Cash currently available, the member shall receive whatever is available immediately, and the remaining approved balance shall be paid as soon as the fund allows.
- The unpaid balance shall be recorded on the date of approval and shall remain fixed at that amount; it shall not be recalculated upward as the member’s contributions grow.
- A member awaiting an approved balance shall have priority for the next available funds ahead of any new request, except where another member has a medical emergency.
- Interest shall be charged only on the amount actually received, from the date it is received. Repayment of the first disbursed amount shall begin on the normal schedule without waiting for the remaining balance.
- Service Charge of Nrs 100 and a Transaction Charge of Nrs 10 (if applicable) will be deducted from the payee's Amount while transaction is made.

9.7 Order of Priority

- If another member applies for a loan, that member shall have priority over a previous borrower. Priority shall generally favor the member who has borrowed least recently, following the LRU (Least Recently Used/Borrowed) principle.
- A member awaiting an approved balance shall have priority for the next available funds ahead of any new request, except where another member has a medical emergency.
- Where there is not enough Free Cash for all pending requests, the order priority is:

    - first, medical and other genuine emergencies;
    - second, the member who has gone longest without borrowing;
    - third, whoever applied earlier, by the date written in the Loan Register;
    - if still equal, by drawing lots in the presence of the Group.
- Where Free Cash is sufficient for a smaller request but not a full loan, a partial or smaller loan may be disbursed rather than leaving the money idle.

9.8 Interest

- Interest shall be charged only on the amount actually received, from the date it is received.
- Repayment of the first disbursed amount shall begin on the normal schedule without waiting for the remaining balance.
- Interest is **6% per year (0.5 % per month)** on the outstanding balance. As per diminishing balance method the interest amount will reduce as per payment of the principal amount. The principal amount on which the interest will be charged each month is the outstanding balance amount before the last repayment date for that month.
- All interest collected belongs to the common fund and benefits every member (see Section 11.1).

9.9 Repayment

- Every loan must be fully repaid within one year. This term is fixed and shall not be extended except under Section 9.12 (Hardship).
- The Number of Months for the Loan is calculated based on the loan borrowed date.
- Monthly repayments are due on the same calendar day of each month as the loan disbursement date.
- If the borrower repays the loan in full within 10 days of disbursement, no interest shall be charged.

9.10 Late Payment on Loans

- If a borrower fails to repay the loan within one year, a grace period of one month shall apply. After the grace period, the interest rate on the outstanding loan balance shall increase to 8% per year. Beginning after the second year, the annual interest rate shall increase by one percentage point for each additional year that the loan remains outstanding.

9.11 Hardship

- If a borrower faces genuine hardship such as hospitalisation, job loss, or a death in the family, they may request rescheduling **before the relevant payment due date**.

9.12 Default and Recovery

- Before applying this clause, the Group must first establish whether the borrower is unable to pay (see Section 9.11) or unwilling to pay. This clause applies only where the borrower is determined to be unwilling to pay.

9.13 Legal Action

- The Group shall first complete and record in writing the steps under Section 9.13: a formal written notice delivered in person to the borrower, a meeting to which the borrower is invited, and an attempt at mediation.
- The borrower shall be given 30 days from the date of the formal recall notice to agree to a written repayment plan. If no plan is agreed, or if an agreed plan is breached, the Group may instruct a lawyer to issue a formal legal notice.

10. Other Withdrawals & Payouts

10.1 Emergency Outright Payouts

- Non-repayable funds can only be disbursed in critical emergencies like “The death of an immediate family member ”, “A serious or critical illness of immediate family member ”, and Other significant emergencies or unforeseen circumstances will be discussed and finalized later.
- *Approval required:* unanimous vote (100%).

10.2 Administrative Costs

- Reasonable administrative costs, including bank charges, stationery, and legal or notice costs, may be paid from the fund and must be recorded by the Excel Maintainer.

10.3 Member Exit / Liquidation

- A member wishing to exit the Group must provide **written notice of at least 30 days** before their exit takes effect.
- If a member exits within the first three years, they shall receive their total contributions without any share of profits, less any unpaid penalties and outstanding loan balances. If a member exits after three years, they shall receive their total contributions plus 80% of the profit attributable to their contributions, less any unpaid penalties and outstanding loan balances. In either case, the net amount shall be paid within 10–20 days.
- Interest and other yields earned shall be distributed proportionally based on the total equity held by each member.
- A member cannot exit while their loan remains outstanding. However, they may exit if their contribution balance is sufficient to settle the outstanding loan principal, accrued interest, and penalties in full.
- If the fund has already been invested (e.g. in a business) and is not liquid, the existing member’s share shall be settled as agreed by the Group.

11. Profit, Loss & Returns

11.1 Profit Sharing

- Any profits generated from investment from the fund, and all loan interest, penalties and late fees collected, belong to the common fund and shall be shared among members in proportion to their contribution or equity holding, unless otherwise agreed unanimously.

11.2 Loss Sharing

- Any losses shall similarly be shared proportionally; no member shall bear more than their proportional share unless they agree to do so in writing. A loss caused by one member's default shall first be addressed under Section 9.13 before any remaining loss is.

11.3 Reinvestment Decision

- Whether profits are reinvested or distributed shall be decided by all members at the relevant Group meeting.

12. Adding New Members

12.1 Catch-up Contribution

- New members shall make a one-time catch-up contribution to maintain an equitable share in the Group.
- The catch-up amount shall be based on the total contributions made by an existing member to date and the accumulated profit attributable to those contributions.
- In the event of a loss, the catch-up amount shall be at least equal to the total contributions made by an existing member, unless otherwise unanimously agreed by the Group.
- See also the unanimous-consent requirement in Section 1.2.

12.2 Loan Eligibility of New Members

- During the first six months of membership, a new member may apply for a loan of up to 80% of their total contributions. A new member shall not have voting rights during the first month of membership.
- After six months, a new member shall have the same loan eligibility as other members.

13. Dispute Resolution

13.1 Process

- Any disagreement among members shall first be discussed and resolved internally through Group meetings.
- Any decision under this Section shall require a two-thirds majority of all members.

14. Amendment of Rules

14.1 Process

- These rules may be amended only with the written consent of all members.
- Any amendment shall be documented, dated and signed by all members, and attached to this Rule Book.

15. Dissolution of the Group

15.1 Conditions

- The Group may be dissolved by unanimous consent of all members or if active membership falls below three members.

15.2 Settlement

- Upon dissolution, all outstanding member loans become immediately due and shall be recovered or set off against the borrower’s deposits.
- Remaining funds and assets shall then be distributed among members in proportion to their total contributions after settling any outstanding liabilities.

16. Acknowledgement

We, the undersigned founding members named below, have read and agreed to abide by the rules and regulations set out in this Rule Book, including the loan, interest and recovery provisions of Section 9, and confirm our acceptance by signature below.

Date: **2083/05/21 (B.S.)**

……..……. Full Name: **Baburam Shrestha** Date: ……	……..……. Full Name: **Prabin Chaudhary** Date: ……
……..……. Full Name: **Rupak Ale** Date: ……	……..……. Full Name: **Saanu Tamang** Date: ……
……..……. Full Name: **Susan Dulal** Date: ……	……..……. Full Name: **Sushma Tharu** Date: ……
……..……. Full Name: **Ayush Adhikari** Date: ……	……..……. Full Name: **Rajani Shrestha** Date: ……